NO. SCWC-22-0000441

IN THE SUPREME COURT OF THE STATE OF HAWAI‘I
CIVIL NO. 19-1-0107-01 (GWBC)

BOOKING.COM B.V.,

Petitioner/Appellant,

v.

GARY S. SUGANUMA, in his official capacity as the Director of Taxation, and STATE OF HAWAII DEPARTMENT OF TAXATION,

Respondents/Appellees.

APPEAL FROM: Order Granting Defendants Isaac W. Choy, in his official capacity as the Director of Taxation and State of Hawaii's Motion to Dismiss Complaint, filed March 14, 2022, entered June 13, 2022 [Dkt. 291], Circuit Court of the First Circuit, State of Hawai‘i, Gary W.B. Chang, Honorable Judge

PETITIONER/APPELLANT BOOKING.COM B.V.'S SUPPLEMENTAL BRIEFING

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PETITIONER/APPELLANT BOOKING.COM B.V.'S SUPPLEMENTAL BRIEFING

Comes now Booking.com[1], and files this Supplemental Briefing pursuant to Rule 40.1(e)(5), Hawai'i Rules of Appellate Procedure and the Order filed herein on December 23, 2025 [Dkt. 47]. Per the Order, the Court has requested supplemental briefing regarding whether HRS § 91-7(a), as interpreted in Hawaii Home Infusion Association v. Befitel, 114 Hawaii 87, 92, 157 P.3d 526, 531 (2007) (the "HHIA Case"), allows Booking.com to bring an action to determine the validity of an agency rule. And, if not, whether such an interpretation violates the Commerce Clause of the United States Constitution. Finally, whether the HHIA Case should be overruled.

As discussed herein, if the HHIA Case is read to deny out-of-state plaintiffs any remedy thereunder, then the HHIA case violates the Commerce Clause. Further, such an interpretation would result in unjust, illogical, and absurd results, warranting this Court overruling the HHIA Case.

I. BOOKING.COM MAY BRING A CHALLENGE UNDER HRS § 91-7 UNLESS THE HHIA CASE IS INTERPRETED TO PRECLUDE SUCH A CHALLENGE

All state agencies with statutory rulemaking authority, which include the Department, must promulgate rules in accordance with the Hawai'i Administrative Procedures Act ("HAPA"), HRS § 91-1, et seq. The purpose of HAPA is to ensure the "integrity of the rules" adopted and enforced by a state agency. Aguiar v. Hawaii Hous. Auth., 55 Haw. 478, 491, 522

[1] Defined terms and citation references herein retain their respective meanings as stated in the Application.

P.2d 1255, 1264 (1974). HAPA includes a check on an agency's exercise of that power, HRS § 91-7(a), which provides in its entirety:

> Declaratory judgment on validity of rules. (a) Any interested person may obtain a judicial declaration as to the validity of an agency rule as provided in subsection (b) by bringing an action against the agency in the circuit court or, if applicable, the environmental court, of the county in which the petitioner resides or has its principal place of business. The action may be maintained whether or not the petitioner has first requested the agency to pass upon the validity of the rule in question.

Cases interpreting HRS § 91-7 have repeatedly concluded that the statute is designed to broaden the universe of plaintiffs that can challenge a rule by providing that "any interested person" has standing, and that the court can then exercise jurisdiction over a facial challenge to the validity of an agency rule. Costa v. Sunn, 5 Haw. App. 419, 425, 697 P.2d 43, 48 (1985) ("[T]he intent of the legislature in enacting HRS § 91-7 was to expand the authority of the court, since the statute authorizes a declaratory judgment action regarding agency rules regardless of whether there is an actual case or controversy.")

With regard to standing, the Court in Asato v. Procurement Policy Board, 132 Hawaii 333, 343, 322 P.3d 228, 238 (2014) reviewed the issue in detail:

> In the context of HRS § 91-7, "[a]ny" means "one selected without restriction." Merriam Webster's Collegiate Dictionary 53 (10th ed. 1993). "Interested" is defined as "being affected or involved[.]" Id. at 610. "Persons" is defined in HRS § 91-1 (1993) broadly as "individuals, partnerships, corporations, associations, or public or private organizations of any character other than agencies." Therefore, "[b]ased on the plain language of [HRS § 91-7], then, [any] interested person[is one who is, without restriction] 'affected' by or 'involved'" with the validity of an agency rule.

(alterations in original). The Court determined that the plaintiff in Asato had standing because "he may be affected by the validity of a regulation." Id. (emphasis added). The Asato Court went on to note that an interested person has standing "regardless of whether there is an

actual case or controversy" and that the lack of a case or controversy requirement demonstrates that "the legislature obviously intended to liberalize standing requirements" in HRS § 91-7 actions. Id. at 343-44, 322 P.3d at 238-39 (citing H. Stand. Comm. Rep. No. 8 in 1961 House Journal, at 658). Similarly, the Court established that an interested person does not need to be "aggrieved" and "need not show injury in fact in order to bring an action pursuant to HRS § 91-7." Id. at 344, 322 P.3d at 239. As such, the Court recognized that "the legislature established a 'broader platform' for 'persons' bringing actions under HRS § 91-7." Id. Booking.com has alleged that it "may be affected" by the Commission Income Rule because the validity of such a rule may impact whether commissions earned by Booking.com are sourced to Hawaii and potentially subjected to General Excise Tax. CC Dkt. 2 at 3-4, ¶¶ 13-17 (Complaint). Booking.com clearly has standing under HRS § 91-7.

As to jurisdiction, in Puana v. Sunn, the Court ruled that HRS § 91-7 authorized a circuit court to hear a challenge to a rule's validity: "The circuit court had jurisdiction pursuant to Hawaii Revised Statutes (HRS) § 91-7 to declare the lump-sum rule invalid if it found that it violated statutory provisions, or exceeded the statutory authority of the agency…. Although HRS § 91-7 does not give the circuit court jurisdiction to hear a challenge to the application of a rule, it clearly does provide for attacks on a rule's validity." 69 Haw. 187, 189, 737 P.2d 867, 869 (1987). See also Asato, 132 Hawaii at 355, 322 P.3d at 250 ("HRS § 91-7 does not give the circuit court jurisdiction to hear a challenge to the application of a rule but instead allows for attacks on a rule's validity."). Booking.com has asserted a single count in its Complaint challenging the validity of the Commission Income Rule under HRS § 91-7 on the basis that it violates the Supremacy Clause to the United States Constitution and the ITFA. CC Dkt. 2 at 6-8, ¶¶ 31-40 (Complaint). Booking.com's claim is clearly within the jurisdiction of HRS § 91-7.

The Court in the HHIA Case, however, determined that actions under HRS § 91-7 that were filed in the "wrong circuit" were subject to dismissal for lack of jurisdiction. Haw. Home Infusion Assocs., 114 Hawaii at 93, 157 P.3d at 532. If applied to Booking.com's Complaint, the claim would be subject to dismissal for lack of jurisdiction and Booking.com would have no "right circuit" within which to file as it has no principal place of business in Hawaii. CC Dkt. 2 at 2, ¶ 1 (Complaint). However, as explained below, the HHIA Case should be overruled.[2]

II. IF THE HHIA CASE IS INTERPRETED TO PRECLUDE OUT-OF-STATE PLAINTIFFS FROM REMEDIES UNDER HRS § 91-7, IT VIOLATES THE COMMERCE CLAUSE

The plaintiff in the HHIA Case had its "principal offices" on Kauai, but filed its action in the First Circuit Court rather than the Fifth Circuit. Id. at 89, 157 P.3d at 528. The defendant agency moved to dismiss on the basis that filing in the wrong circuit is jurisdictional. Id. The plaintiff argued that the portion of the statute related to which circuit a plaintiff "may" file in was a question of venue, not jurisdiction. Id.

The Court recognized in HHIA that a statute should not be interpreted such that it results in an "absurd or unjust result." Id. at 91, 157 P.3d at 530. Further, statutes must be interpreted to avoid unconstitutional outcomes. In re Jane Doe, 96 Hawaii 73, 81, 26 P.3d 562, 570 (2001) (stating that, "where a statute is susceptible of two constructions, by one of which grave and doubtful constitutional questions arise, and by the other of which such questions are avoided, our duty is adopt the latter").

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[2] In the alternative, the HHIA Case could potentially be clarified to apply only to circumstances where the plaintiff does have residency or a principal place of business in Hawaii. In that situation, there is a "right circuit" within which to file and the plaintiff may refile in that circuit. However, in cases of an out-of-state plaintiff, which was not the facts of the HHIA Case, there is no right or wrong circuit, and the plaintiff should not be restricted by the decision in the HHIA Case.

If HRS § 91-7 is interpreted to allow only residents and local businesses (those with a principal place of business in Hawaii[3]) from exercising the right to challenge an agency rule's validity, it would violate the Commerce Clause to the United States Constitution (US Const., Art. 1 § 8, cl. 3). CompUSA Stores, L.P. v. State, 142 Hawaii 304, 311, 418 P.3d 645, 652 (2018) ("The Commerce Clause 'has long been understood to have a 'negative' aspect that denies the States the power unjustifiably to discriminate against or burden the interstate flow of articles of commerce.'") (citations omitted). A law discriminates against interstate commerce if it provides for "differential treatment of in-state and out-of-state economic interests that benefits the former and burdens the latter." Id. "If a restriction on commerce is discriminatory, it is virtually per se invalid." Or. Waste Sys. v. Dep't of Envtl. Quality, 511 U.S. 93, 99 (1994) ("By contrast,

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[3] The Tax Foundation of Hawaii's assertion that a business may have more than one principal place of business is without merit. [Dkt 49 at 2-3] It is Hornbook law that businesses have one principal place of business. Womble Bond Dickinson (US) LLP v. Kim, 153 Haw. 307, 313, 537 P.3d 1154, 1160 (2023) ("A business entity has two home states: its place of incorporation and its principal place of business."). "[T]he principal place of the business of a corporation, or where it exercises its corporate powers, . . . is where the governing power of the corporation is exercised; . . . and not where the labor is performed in executing the requirements of the corporation in transacting its business. . . . [A] corporation can only be considered as resident in the jurisdiction in which its principal offices are located, though it may run a railway and have local agents in other jurisdictions." County of Kauai ex rel. Willard v. Holt, 17 Haw. 146, 155 (1905). The statutes referenced by the Tax Foundation do not change this fact. HRS § 454F's reference to principal place of business is confused. HRS § 454F-1 defines "principal place of business" for that Chapter as "a mortgage loan originator company's main office location in this State that is identified by any means to the public or customers as a location at which the licensee holds itself out as a mortgage loan originator company." In contrast, it defines "principal office" as "the office location where the company's core executive and administrative functions are primarily carried out." HRS § 454F-10.5 then requires that a "principal place of business" within the state be designated, but recognizes that the "principal office" will often be out-of-state. As such, HRS § 454F appears to misuse the terms at issue, but recognizes the same concept – a company has one nerve center, but can designate a main office in the state. HRS § 514E-2.5 refers to "principal place of business" in the context of the location from which a timeshare seller may extend invitations to customers and allows the same "from a principal place of business, branch office, or other real estate place of business, or from a booth." Nothing in this section indicates that more than one principal place of business is possible.

nondiscriminatory regulations that have only incidental effects on interstate commerce are valid unless 'the burden imposed on such commerce is clearly excessive in relation to the putative local benefits.'") (citations omitted).

As interpreted by the HHIA Case, HRS § 91-7 would clearly be discriminatory because it would allow only in-state businesses to challenge agency rules that impact their business, while out-of-state businesses would be unable to challenge those same rules. Consider a regulation that provides for increased taxes on big-box stores or cellular carriers – none of those entities have their principal place of business in Hawaii (Costco, Sam's Club, Walmart, Target / Verizon, AT&T, T-Mobile). In contrast, the same type of regulation that increased taxes on local business could be challenged immediately. The inequality of this playing field would discourage out-of-state businesses from entering the Hawaii market, decrease competition, and negatively impact commerce. Even if HRS § 91-7 had only incidental discriminatory effect, there is no possible legitimate governmental interest in excluding out-of-state residents and businesses from challenging the validity of state rules. The legislature has made clear that its purpose is to allow "any interested person" to challenge the validity of agency rules and that its desire was to broaden, not restrict the universe of persons who could bring such a challenge. See Asato, 132 Hawaii at 344, 322 P.3d at 239; Costa v. Sunn, 5 Haw. App. at 425, 697 P.2d at 48.

The discriminatory reading of HRS § 91-7 outlined in the HHIA Case would also run afoul of the Equal Protection Clause to the United States Constitution (US Const., amend. XIV, § 1). Doe v. Rocky Mt. Classical Acad., 99 F.4th 1256, 1259 (10th Cir. 2024) ("The Equal Protection Clause of the Fourteenth Amendment provides that no state shall 'deny to any person within its jurisdiction the equal protection of the laws.'"). Under the Equal Protection Clause, "[a]t a minimum, a statutory classification must be rationally related to a legitimate

governmental purpose." Clark v. Jeter, 486 U.S. 456, 461 (1988). As noted above, there can be no legitimate governmental purpose in limiting the challenges to agency rules to in-state persons when the statute clearly provides for standing to "any" interested person. Asato, 132 Hawaii at 343, 322 P.3d at 238.

Finally, the impositions of the HHIA Case on HRS § 91-7 would violate the Privileges and Immunities Clause of the United States Constitution (US Const., Art. IV, § 2, cl. 1). The Privileges and Immunities Clause "provides that the Citizens of each State shall be entitled to all Privileges and Immunities of Citizens in the several States" and was "designed to place the citizens of each State upon the same footing with citizens of other States, so far as the advantages resulting from citizenship in those States are concerned." Supreme Court of Va. v. Friedman, 487 U.S. 59, 64 (1988) (internal quotation marks omitted). In considering the clause "for analytic purposes citizenship and residency are essentially interchangeable." Id. Among the privileges that cannot be abridged is the privilege of doing business on the same terms as residents of the state. Id. at 65 ("[O]ne of the privileges which the Clause guarantees to citizens of State A is that of doing business in State B on terms of substantial equality with the citizens of that State."). As with other constitutional protections against discrimination, once a "protected privilege" is found, the discriminatory law survives only if the restriction is "closely related to the advancement of a substantial state interest." Id. The discrimination inserted into HRS 91-7 by the HHIA Case is not related to the advancement of any substantial state interest.

III. IF THE HHIA CASE APPLIES TO OUT-OF-STATE PLAINTIFFS, IT SHOULD BE OVERRULED

The offending discrimination here is not a function of HRS § 91-7 itself, but the interpretation foisted upon it by the HHIA Case. Booking.com submits that the HHIA Case

should be overruled. While this Court does require "compelling justification" supported by "the most cogent reasons and inescapable logic" to overrule precedent, "there is no necessity or sound legal reason to perpetuate an error under the doctrine of stare decisis." Ahn v. Liberty Mut. Fire Ins. Co., 126 Hawaii 1, 10, 265 P.3d 470, 479 (2011). "Stare decisis, while foundational to stability in the law, is no everlasting command. It must yield if following precedent perpetuates injustice or fails to protect constitutional rights given evolving legal and factual understandings." State of Hawai'i v. Zuffante, 157 Hawaii 194, 210, 576 P.3d 243, 259 (2025).

First and foremost, as noted above, the discriminatory interpretation created by the HHIA Case violates various provisions of the United States Constitution. Without more, this is enough to support overruling the HHIA Case. Id. See In re Jane Doe, 96 Hawaii at 81, 26 P.3d at 570.

Second, the decision relies on clearly distinguishable case law. The Court in HHIA relied heavily on the one-page opinion in Hawaiian Tel. Co. v. Agsalud, 67 Haw. 39, 40, 675 P.2d 777, 778 (1984) interpreting HRS § 383-38(a), which allows an appeal of unemployment benefits to be filed "in the county in which the claimant resides or in the county in which the claimant was last employed." The Hawaiian Tel Court determined that the location of the filing was jurisdictional. Id. However, the statutory appeal process under HRS § 383-38 is fundamentally different than that under HRS § 91-7 in that any person bringing an appeal of a determination of state employment benefits will by definition always have "a county in which the claimant resides" or a "county in which the claimant was last employed" in which to bring the appeal. While the facts in the HHIA Case included a plaintiff that had residency in the state on Kauai, the Court in the HHIA Case appears to have not considered the ramifications to a plaintiff without such a residency.

Third, the decision appears to misconstrue the legislative history. The legislative history includes:

> [S]ection 7[ ] of the . . . Model [APA] has been amended [***17] to provide that an interested person may obtain a declaratory judgment where the rule is invalid on the grounds [now set forth in HRS § 91-7(b)]. As to where a proceeding can be instituted, an interested person may bring an action where he resides, or in the case of a corporation where its principal place of business is located.

Haw. Home Infusion Assocs., 114 Hawaii at 92, 157 P.3d at 531 (quoting H. Stand. Comm. Rep. No. 8, in 1961 House Journal, at 654-55, 658). The Court in HHIA focused on the word "may" and, without discussion, concluded that it did not believe that the legislature intended to bestow a benefit on plaintiffs to choose venue in their circuit of residency rather than the standard venue requirements of a defendant's circuit of residency under HRS § 603-36. Id. However, the legislative history does support a venue interpretation. The legislative history is divided into two sentences. The first covers standing ("any interested person") and jurisdiction ("a declaratory judgment where the rule is invalid"). The second sentence is set apart and begins "As to where a proceeding can be instituted." This tracks precisely with the language of HRS § 603-36, which is titled, "Actions and proceedings, where to be brought." Venue is also concerned with the "convenience to litigants," not the "inherent judicial power" of the court. Alamida v. Wilson, 53 Haw. 398, 400, 495 P.2d 585, 588 (1972). The legislative history that provides for actions by interested persons to be brought where they reside or where their principal place of business is located provides convenience to plaintiffs, which is directly in line with the purpose of HRS § 91-7 to "establish[] a 'broader platform' for 'persons' bringing actions under HRS § 91-7." Asato, 132 Hawaii at 344, 322 P.3d at 239. Affording such convenience to plaintiffs also comports with the purpose of HRS § 91-7 because the defendant in such suits will always be a government agency. Rather than making a plaintiff sue in the location

of the agency that promulgated the rule at issue, the legislature allows those plaintiffs to sue in the circuit of their residence.

Fourth, the holding of the HHIA Case produces absurd and illogical results in the context of agency rules and HRS § 91-7. As noted above, an agency rule that applies only to out-of-state residents or businesses would be immune from challenge. The absurdity of such a result cuts against the reasoning of the HHIA Case. Moreover, in light of the clear mandate from the legislature that "any interested person" be allowed to challenge an agency rule, it would be illogical to provide that right to such a broad swath of potential plaintiffs with one hand only to snatch it back with the other hand by restricting the possible plaintiffs to Hawaii residents. Such an interpretation would also gut the liberal standing case law regarding HRS § 91-7 actions. See e.g. Asato, 132 Hawaii at 344, 322 P.3d at 239. There can be no legitimate reason to exclude the very persons and businesses impacted by an agency rule from the right to challenge that rule simply because they are nonresidents.

IV. CONCLUSION

For the reasons stated herein, Booking.com respectfully submits the HHIA Case, Hawaii Home Infusion Association v. Befitel, 114 Hawaii 87, 157 P.3d 526 (2007), should be overruled.

DATED: Honolulu, Hawai'i, January 22, 2026.

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